

ECON 0100 | Vignette C3 | Externalities

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

Residents of Hogsmeade enjoy pumpkin pasties year round. The Demand (marginal benefit) curve and Supply (marginal cost) curve for pumpkin pasties can be represented using the following relationships.

$$D : P_b = 100 - Q_b$$

$$S : P_s = 10 + Q_s$$

However, a recent report conducted by the Daily Profit conclusively established a link between the consumption of pumpkin pasties and accidental magical spells, with a cost to society of 10 galleons.

Q1 | Market Equilibrium

Find the market equilibrium price, quantity, and DWL. Use algebra and a graph to guide your answers.

a) Market Equilibrium Quantity: _____ Socially Efficient Quantity: _____

b) Market Equilibrium Price: _____ Deadweight Loss: _____